Building defect complaints

Resolving issues

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NSW Fair Trading offers different services to help reduce the number of defects in NSW homes, either before completion under the *Residential Apartment Building (Compliance and Enforcement Powers) Act* or after receiving a complaint from an owner after completion.

Complaints about defects after building

Where a homeowner or other person has a complaint about home building work, NSW Fair Trading provides a free complaint handling service to help resolve disputes.

This is for houses and multi-unit dwellings as well as the quality of specialist trade work (electrical, plumbing, gasfitting) in residential or commercial buildings.

Fair Trading can help with complaints in relation to the *Home Building Act 1989.*

A homeowner has statutory warranties (6 years for major defects and 2 years for minor defects).

Before making a complaint, you should try to resolve the matter with the contractor/builder.

> Tips for resolving building complaints (https://www.fairtrading.nsw.gov.au/housing-and-property/building-and-renovating/resolving-building-disputes)

If you can't reach an agreement, the homeowner for a house, or owners corporation for a strata building (residential apartment building), can make a complaint at their nearest Service NSW centre.

Building practitioners can also raise any concerns about defects or the quality of work noted during construction.

In many instances, parties will be able to participate in Fair Trading's complaint handling service before proceeding to a court or Tribunal to resolve the issue.

Building complaints time limits

The following times limits apply for homeowners to commence proceedings for a breach of statutory warranty:

Major defects – 6 years from completion of the work

All other defects – 2 years from completion of the work

If you find out there has been a breach of warranty in the last six months of the statutory warranty period, homeowners have an extra 6 months after the end of the statutory warranty period to commence proceedings.

If the complaint is about incomplete work, the period commences from the date of termination of the contract or, where the contract hasn't been terminated, the date work ceased.

If it is nearing the end of the statutory warranty period, you can still access Fair Trading's complaint handling service but you should also lodge an application with the NSW Civil and Administrative Tribunal to preserve your rights under legislation.

If the statutory warranty time periods have passed (putting the work is outside the statutory warranty period), Fair Trading and the Tribunal may not be able to deal with your application.

> **Tip:** It is the responsibility of the homeowner to apply to the Tribunal before the expiry of the statutory warranty period.

Major defects

A major defect is defined as a defect in a major element of the building due to defective design, workmanship or materials, or failure to comply with the National Construction Code structural performance requirements.

This may include but is not limited to:

a load-bearing component essential to the stability of the building such as foundations, footings, floors, walls, roofs, columns or beams

fire safety system

waterproofing.

Statutory warranties

The *Home Building Act 1989* provides homeowners with the following statutory warranties that state the work will:

be done with due care and skill and in accordance with the plans and specifications;

comply with relevant laws;

be done with due diligence within the time stipulated in the contract (if no time is stipulated, within a reasonable time)

where appropriate, result in a dwelling that is reasonably fit for occupation.

The materials will be:

reasonably fit for the specified purpose or result

new and suitable for the purpose used unless stated otherwise in the contract.

Residential apartment buildings

The *Residential Apartment Building (Compliance and Enforcement Powers) Act 2020* commenced on 1 September 2020.

It is focused on the construction phase of a residential apartment building (class 2) before an occupation certificate is issued. This is because once an occupation certificate is issued for a building the developer can require purchasers to settle purchases.

The *Residential Apartment Buildings (Compliance and Enforcement Powers) Act* enables NSW Fair Trading to enter a construction site for a residential apartment building to investigate if there are any serious defects.

If there are defects, an order can be given to prohibit an occupation certificate, or for building work to be rectified or for building work to stop.

This interaction is between the developer and NSW Fair Trading but is for the benefit of the consumers who will eventually buy a unit in the building.

Broadly, serious defects in a building are where building work fails to comply with the performance requirements of the Building Code of Australia or includes defective design or faulty workmanship relating to:

waterproofing

fire safety

structural matters

enclosures or cladding

services.

For residential apartment buildings (4 storeys or higher) where the contract was made 1 January 2018 the developer has to lodge a building defects bond of 2% of the building contract price before applying for an occupation certificate.

The developer has to appoint a building inspector to inspect the building and prepare a report of defects. If the developer doesn't rectify the defects the building defect bond can be used to fund that rectification.

> Learn about Project Intervene (https://www.nsw.gov.au/housing-and-construction/strata/projectintervene)
>
> We work with a developer to negotiate an agreement to fix serious defects in your class 2 residential apartment building. Your building must have been completed within the past 10 years. The developer covers the cost of this work.

The following information explains what happens once a complaint has been lodged.

Building complaints handled by Fair Trading

Building disputes that relate to the quality of workmanship including defective or incomplete work. This includes complaints about the building elements in residential apartment buildings such as waterproofing, fire safety and defects of a serious nature.

Fair Trading can accept complaints against a building practitioner in relation to:

houses: freestanding, townhouse or row house (class 1)

multi-unit dwelling: 3 storeys or less (class 1 or class 2)

multi-unit dwelling: 4 storeys plus and high rise (class 2).

Fair Trading can also help with complaints about building certifiers (https://www.fairtrading.nsw.gov.au/housing-and-property/building-and-renovating/during-the-building-process/complaints-about-certifiers)

Who can make a complaint about a residential apartment building

Once an apartment building is completed and occupied, complaints about defects that affect the common property of an apartment building are best made by the owners corporation or their representative such as a strata managing agent.

These representatives will most likely have the information Fair Trading needs to help resolve the issues.

Complaints can also be made by individual lot owners where the defect only affects their lot, or the lot owner/s can't get a response to the defect from their owners corporation or strata manager.

Building practitioners who become aware of defects in apartment buildings that are under construction or completed are also encouraged to make a complaint.

Information needed to make building complaints

The complaint form will guide you through the information we require depending on the type of residence, house, multi-unit or residential apartment.

Fair Trading needs information about:

- the property owner
- details of the contractor who undertook the work
- the type of work done and date commenced including plans and contracts
- evidence of the date the work was completed. For example, occupational certificates
- copies of correspondence about the dispute
- copies of reports or photos in relation to defects.

For complaints within a multi-unit dwelling (class 2), Fair Trading will also need information about the builder, developer, certifier and strata managing agent.

Go to building complaint form (http://www.cas.fairtrading.nsw.gov.au/icmspublicweb/forms/HomeBuildingForm.html) →

Frequently asked questions

What do we do to help resolve complaints?

What does a building inspector do?

What if the consumer doesn't want the contractor back?

What if an agreement is not reached?

What if the homeowner or contractor disagree with a Rectification Order?

What if the Rectification Order is not complied with?

What about insurance under the Home Building Compensation Fund?

What happens if the law has been broken?

What happens when a Building Claim is lodged with the Tribunal?

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